Microsoft Corporation

(MSFT)

Investment Thesis

Current Price: $403.93

Market Cap: $3,002.2B

Sector: Technology

Industry: Software - Infrastructure

Date: March 03, 2026

1. Business Description

Microsoft Corporation develops and supports software, services, devices, and solutions worldwide. The Productivity and Business Processes segment offers Microsoft 365 commercial, enterprise mobility + security, windows commercial, power BI, exchange, sharepoint, Microsoft teams, security and compliance, and copilot; Microsoft 365 commercial products, such as Windows commercial on-premises and office licensed services; Microsoft 365 consumer products and cloud services, including Microsoft 365 consumer subscriptions, office licensed on-premises, and other consumer services; LinkedIn; dynamics products and cloud services, such as dynamics 365, cloud-based applications, and on-premises ERP and CRM applications. Its Intelligent Cloud segment provides Server products and cloud services comprising Azure and other cloud services, GitHub, Nuance Healthcare, virtual desktop offerings, and other cloud services; server products, including SQL and windows server, visual studio and system center related client access licenses, and other on-premises offerings; enterprise and partner services, such as enterprise support and nuance professional services, industry solutions, Microsoft partner network, and learning experience. The Personal Computing segment provides windows and devices, such as Windows OEM licensing and devices and surface and PC accessories; gaming services and solutions, such as Xbox hardware, content, and services, first- and third-party content Xbox game pass, subscriptions, and cloud gaming, advertising, and other cloud services; search and news advertising services that includes Bing and Copilot, Microsoft News and Edge, and third-party affiliates. It sells its products through OEMs, distributors, and resellers; and online and retail stores. The company was founded in 1975 and is headquartered in Redmond, Washington.

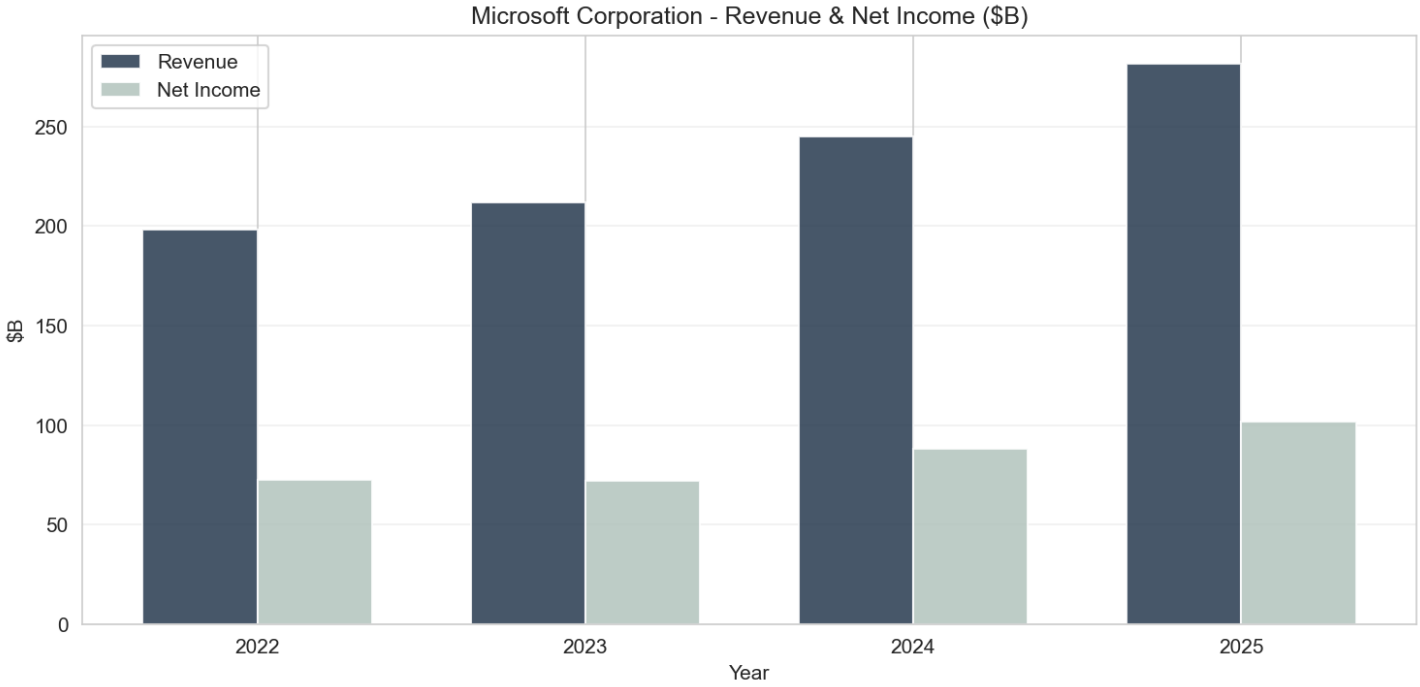
Key Metrics

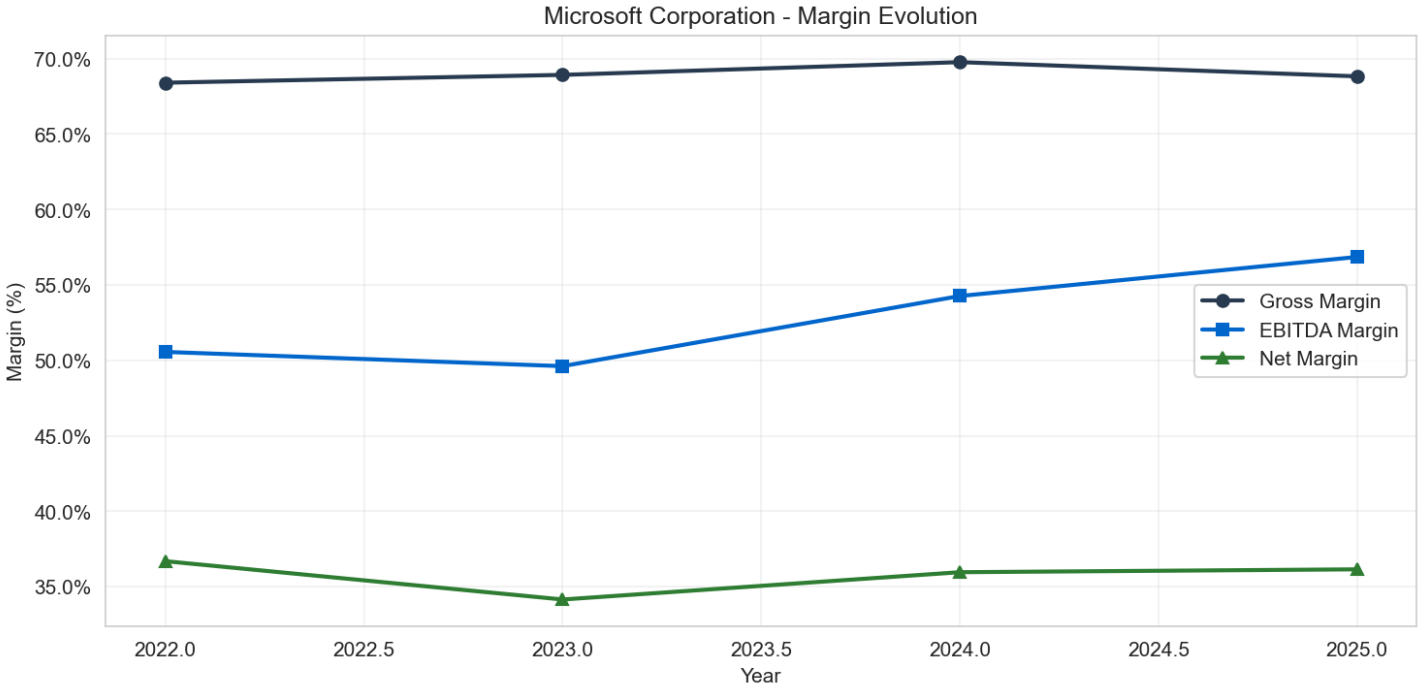
Market Cap	$3,002.2B	Enterprise Value	$2,993.3B
P/E Ratio (TTM)	25.3x	Forward P/E	21.4x
EV/EBITDA	17.1x	Revenue Growth	16.7%
Gross Margin	68.6%	Operating Margin	47.1%
Net Margin	39.0%	Beta	1.11
Dividend Yield	0.91%	52W High	$555.45
52W Low	$344.79		

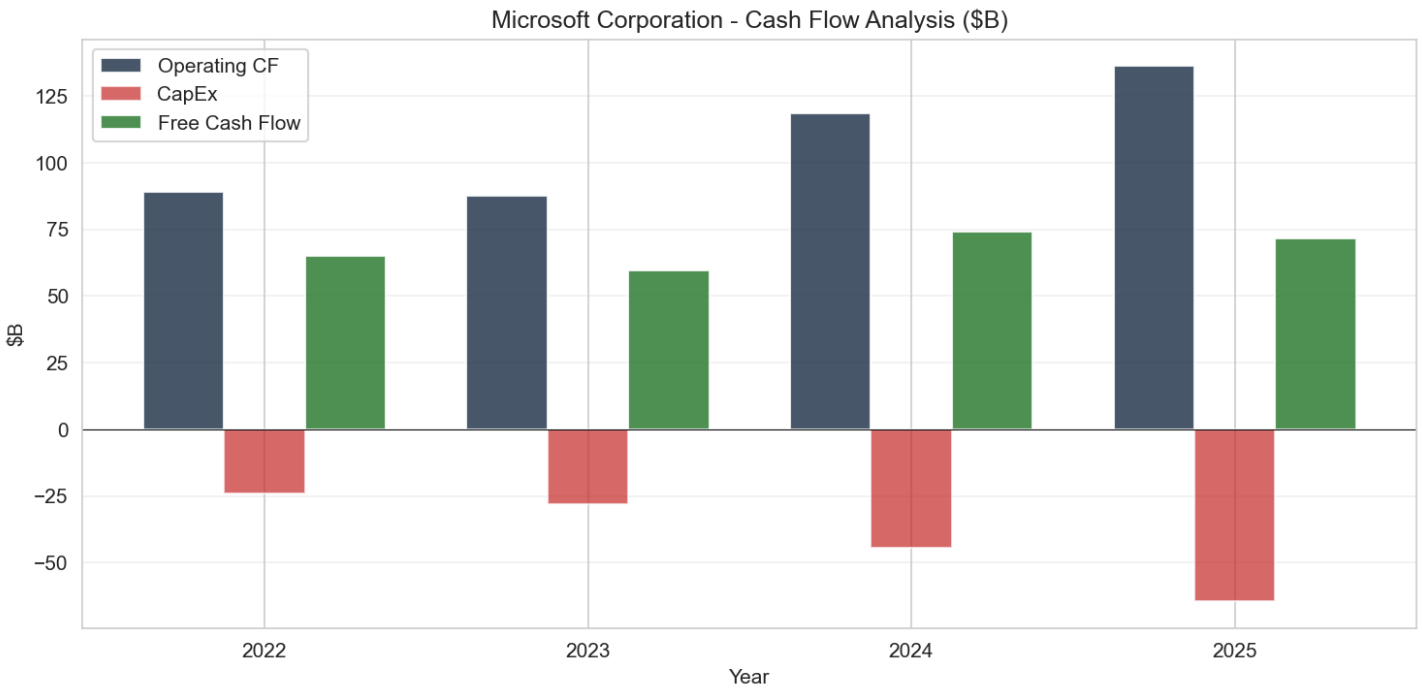
2. Financial Summary (Last 3 Years)

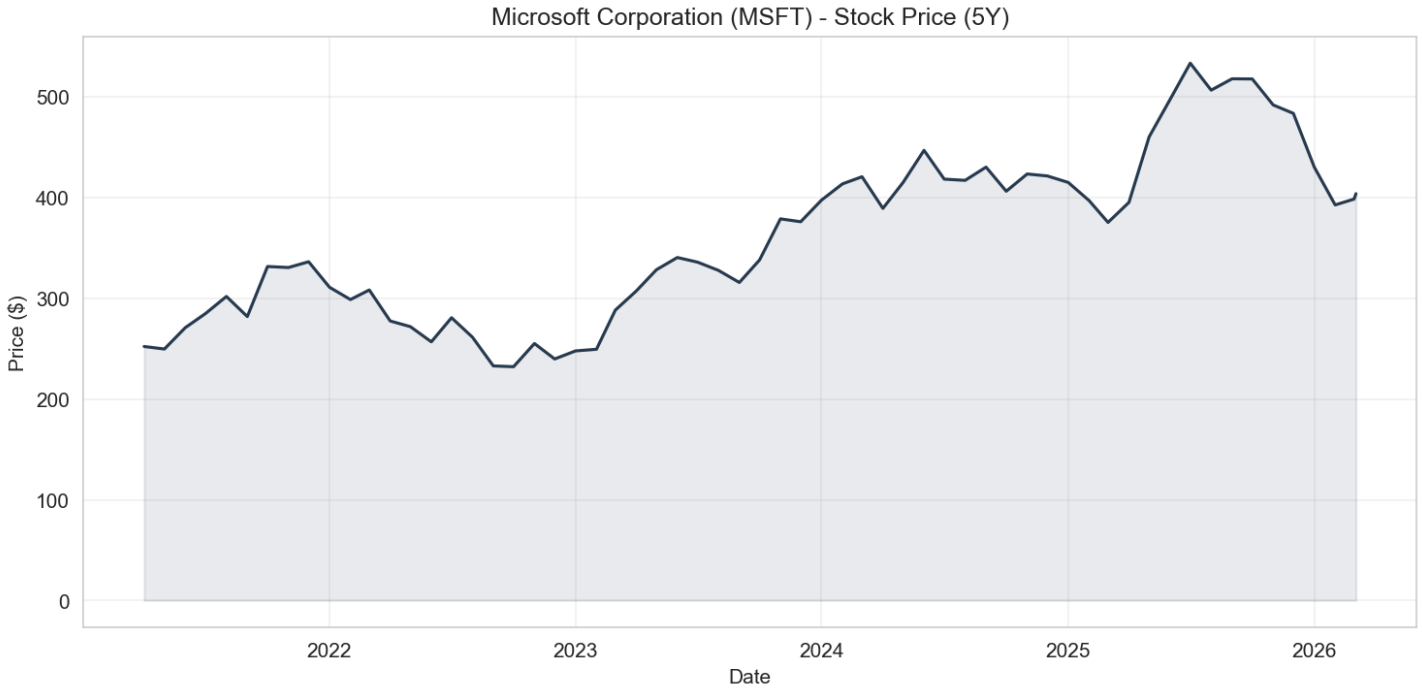
Metric ($M)	FY2023	FY2024	FY2025
Revenue	211,915	245,122	281,724
Gross Profit	146,052	171,008	193,893
Operating Income	88,523	109,433	128,528
Net Income	72,361	88,136	101,832
EBITDA	105,140	133,009	160,165
Free Cash Flow	59,475	74,071	71,611
Total Assets	411,976	512,163	619,003
Total Debt	59,965	67,127	60,588
Total Equity	206,223	268,477	343,479

3. Financial Charts






Microsoft Corporation - Cash Flow Analysis ($B)
Operating CF
CapEx
Free Cash Flow
125
100
75
50
25
0
−25
−50
$B
2022
2023
2024
2025
Year


Microsoft Corporation (MSFT) - Stock Price (5Y)
500
400
300
200
100
0
Price ($)
2022
2023
2024
2025
2026
Date

4. Positive Catalysts

- Strong revenue growth of 16.7% indicates robust demand and market expansion potential.
- High gross margin of 68.6% demonstrates strong pricing power and competitive moat.
- Operating margin of 47.1% shows operational efficiency and scale benefits.
- Strong free cash flow generation of $71.6B provides flexibility for buybacks, dividends, or M&A.
- Large-cap status with $3002B market cap provides stability and institutional investor interest.
- Analyst consensus price target implies 48% upside from current levels.

5. Key Risks

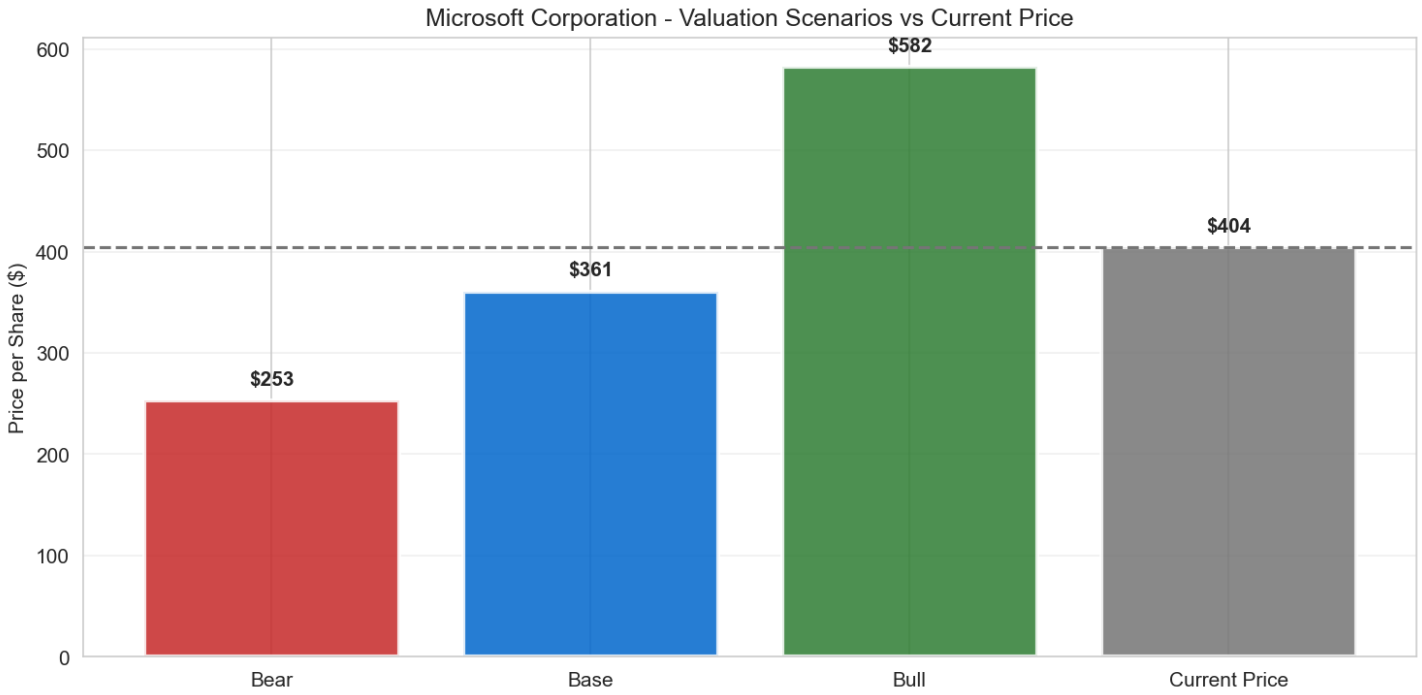
- Macroeconomic risks including recession, inflation, and interest rate changes could impact performance.
- Competitive pressures in the Software - Infrastructure space may erode margins or market share.
- Regulatory scrutiny in the Technology sector could lead to compliance costs or operational restrictions.

6. Valuation Summary (DCF)

Current Price: $403.93

Scenario	Rev Growth Y1	WACC	TV Multiple	Gross Margin
Bear Case	11.7%	12.3%	16x	67.0%
Base Case	16.7%	10.3%	19x	69.0%
Bull Case	21.7%	9.3%	21x	71.0%

Note: Detailed DCF calculations are available in the accompanying Excel model. The Excel model includes a sensitivity analysis table showing equity value per share across different WACC and Terminal Value Multiple assumptions.



7. Recent News

OpenAI is developing alternative to Microsoft's GitHub, The Information reports

Yahoo

This Billionaire Is Selling Amazon and Microsoft and Buying This Impressive AI Stock Up Over 1,200% Since 2023

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Microsoft (NASDAQ:MSFT) Trading 1.3% Higher - Time to Buy? - MarketBeat

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